

Green EVOLUTION

Agriculture needs a revolution and India Inc growth ventures. If the Government removes archaic hurdles, rural India would blossom.

By Nandini Vaish

In 2006, Vikram Puri, CEO of Mahindra Shubhlabh, contracted farmers in Punjab to grow basmati rice for Rs 1,350 per quintal. Global demand, supply fluctuations and local speculative buying pushed the prices to Rs 1,400-1,500 per quintal and about 2,000 farmers in Jalandhar and Kapurthala reneged on their contracts, causing a loss of Rs 3.6 lakh in actuals and Rs 27 lakh in opportunity cost.

This is not just a basmati story; it's a tale about the chasm between hope and reality as corporate India makes inroads into agriculture. Corporate investment seeks to bring about a huge change in Indian agriculture which accounts for the livelihood of almost two-thirds of the workforce and 16.3 per cent of the country's GDP. According to the Economic Survey, the rate of growth in India's food production is 1.2 per cent a year, much less than the population growth rate of 1.9 per cent.

With its money, systems and marketing muscle, the private sector sniffed opportunity—both in domestic retail and global markets—and went in with high hopes. India produces around 111.77 million metric tonnes of vegetables and 57.73 million metric tonnes of fruits every year, accounting for nearly 12 and 11 per cent of the world's production. Since outright ownership of farmland was out of the question, contract farming emerged as the preferred mode for companies like Bharti, Reliance, the Avantha Group, Mahindra & Mahindra, Godrej and Escorts. Farmers across Punjab, Gujarat, Maharashtra, Uttar Pradesh and Karnataka signed up with corporates who brought newer production techniques and high-yield seed varieties, fertilisers and pesticides, easier bank loans and better marketing linkages. More importantly, it paved the way for economies of scale.

Of course, the driving factor was economics. According to Vivek Bharati, executive director, Agri & External Affairs, PepsiCo India, a com-



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SANJAY KUMAR



THE DOMESTIC MARKET IS FAR MORE TOLERANT, SO THE OPPORTUNITY TO DELIVER TO THE LOCAL CONSUMERS IS MORE AND WILL HELP DEVELOP THE EXPORT MARKET.

RAKESH MITTAL, Vice-Chairman, Bharti Enterprises

Company **FIELD FRESH FOODS**

Cultivating
BABY CORN, OKRA,
PEPPERS, LETTUCE AND
MANGOES

Land aggregated
2,500 acres

Investment
Rs 170 CRORE*

* Total investment in FieldFresh